

Compliance

Penalties apply when you don't meet your obligations under levies laws.

You should ensure that your returns, payments and records are accurate and paid on time.

The levies national compliance program assists Australian businesses understand and comply with levy and charge laws.

Our officers work with levy account holders (levy and charge payers or collection agents) to support their understanding about when levies and charges apply, calculating rates and meeting due dates.

Our risk-based programs target high, medium and low risk categories or industries. We direct resources to several other areas each year, for example:

- industry and supply chain engagement
- new or existing agent education
- reviewing contract wine processing arrangements
- exempt supplier lists, and
- producer-to-producer sales.

Where breaches of the law occur, we can take steps to enforce compliance. This can range from:

- education and support
- use of formal warnings
- issuing infringement notices
- civil action, and
- criminal action, for the worst offending cases.

If you have questions about complying with levies laws, contact the [levies team in your state or territory](#).

Find more information about [products with a levy or charge](#).

Record keeping

Record keeping obligations apply. Records must be kept for five (5) years, if you are a:

- levy payer
- charge payer
- collection agent, or
- person claiming levy or charge exemptions.

Levy and charge payers must keep records that:

- substantiate the amount of levy and charge paid

- include details of transactions with collection agents, including agent details (such as selling or buying agents, processors, exporting or importing agents).

Collection agents must keep records that:

- substantiate the amount paid on behalf of levy or charge payers (including claims for exemptions, where relevant).

Persons claiming levy or charge exemptions

Persons claiming an exemption from levy or charge must keep records that contain details about how the exemption applies.

These records must be kept for five (5) years, starting from the first exemption.

Penalties for failure to comply

A person commits an offence of strict liability or contravenes the law if they fail to make or keep records described above.

Strict liability is a legal term that refers to a type of liability that does not require proof of fault. This means that the prosecution is only required to prove the physical elements of an offence for the defendant to be found guilty.

Monitoring

Levy account holders may be subject to monitoring. This may include record inspections. Our officers visit premises each year to carry out record inspections.

Account holders are selected using a risk-based approach that targets different categories of businesses and industries each year.

A random sample of account holders are also selected to test that the risk profiles for medium to low-risk categories and industries remain effective.

Record inspections

When an officer, or person assisting them, visits a premises, they exercise their power to determine:

- if returns, records or payments comply with levies laws
- whether the information and documentation inspected is correct, and
- any matters that may be subject to further monitoring.

An officer is not authorised to enter premises unless the:

- occupier of the premises has consented to the entry or
- entry is made under a monitoring warrant.

A monitoring warrant, under the Regulatory Powers (Standard Provisions) Act 2014 (RPA), is an authorization issued by an issuing officer, typically a judicial officer, allowing an inspector to enter premises and exercise monitoring powers without the need for consent from the occupier. These warrants are used to verify compliance with legislative requirements or to investigate potential non-compliance.

Giving consent to enter premises

Before our officers enter premises, we will obtain the informed consent from the occupier of the premises.

Consent can be refused or limited to a particular period and our officers must abide by the terms of that consent.

If consent to enter the premises is revoked by the occupier of the premises, the officer will immediately leave the premises.

When an officer, or person assisting them, conducts a records inspection at a premises with the consent of the occupier of the premises, or they discover relevant information as part of the inspection, they can use their powers to:

- ask questions and request related documentation is produced
- search the premises and anything on the premises
- examine or observe any activity conducted on the premises
- inspect, examine, take measurements of or conduct tests on anything on the premises
- make any still or moving image or any recording of the premises or anything on the premises
- inspect any document on the premises and take extracts from, or make copies of, any such document
- take onto the premises equipment and materials required by the officer for the purpose of exercising powers in relation to the premises
- operate electronic equipment on the premises and where required, put data in documentary form and remove the documents so produced from the premises
- use a disk, tape or other storage device that is on the premises and can be used with the equipment or is associated with it
- operate electronic equipment on the premises to transfer relevant data onto a disk, tape or other storage device that is brought onto the premises for the exercise of power
- operate electronic equipment on the premises to transfer relevant data to a disk, tape or other storage device that is on the premises and remove the disk, tape or other storage device from the premises. The occupier of the premises must agree in writing that the officers can use disk, tape or the storage device for that purpose

Our officers may only operate electronic equipment if they believe on reasonable grounds that it can be carried out without damage to the equipment.

For compensation for damages to electronic equipment refer to section 29 of the Regulatory Powers Act.

If you have concerns about giving consent to enter premises [contact the levies team in your state or territory](#).

Infringement notices

On 1 January 2025 the levies infringement notice scheme was introduced. Infringement notices provide an effective method for dealing with certain breaches of the law.

Infringement notices can be issued for:

- failing to give returns or notices
- failing to make or keep records
- failing to give certain information
- giving false or misleading information, documents or omissions which are misleading.

The infringement notice will set out information about the payment amount and method. It will explain the process for seeking a withdrawal or extension for payment.

Paying the amount by the due date effectively discharges all guilt or liability for the alleged contravention without making admissions.

Infringement notices are a financial penalty and if paid in full, they are an alternative measure to prosecution for an offence and to court proceedings for a civil penalty order.

If you do not pay, then you may be prosecuted for an offence or we may commence court proceedings for a civil penalty order against you. Courts can impose a financial penalty for the contravention.

Late payment penalties

Penalties are calculated daily at a compounding rate of 2% of the unpaid amount each month, including any outstanding debt, until the amount is paid in full.

See more on [how to lodge returns and pay levies](#).

Know your rights

There are laws that set out how our officers can conduct monitoring.

These laws include protections around self-incrimination and legal professional privilege, as shown below:

Self-incrimination

A person has the right to refuse to answer a question, give information, or produce a document, on the ground that the answer to the question, the information, or the production of the document, might tend to incriminate the person or make the person liable to a penalty.

Legal professional privilege

A person has the right to refuse to answer a question, give information, or produce a document, because the:

- answer to the question or the information would be privileged from being given on the ground of legal professional privilege, or
- document would be privileged from being produced on the ground of legal professional privilege.

Securing items

An officer can secure a thing as part of the monitoring for a period not exceeding 24 hours if it is found during the monitoring and the officer believes on reasonable grounds that:

- a provision that is subject to monitoring or a related provision has been contravened with respect to the thing
- it affords evidence of the contravention of a provision that is subject to monitoring or a related provision
- it affords evidence that it is intended to be used for the purpose of contravening a provision that is subject to monitoring or a related provision
- it affords evidence that information subject to monitoring or given in compliance or purported compliance with a related provision, is not correct
- it affords evidence in relation to another matter that is related to the monitoring or in relation to compliance or purported compliance with a provision related to the matter
- it is necessary to secure the thing to prevent it from being concealed, lost or destroyed before a warrant to seize the thing is obtained, and
- it is necessary to secure the thing without a warrant because the circumstances are serious and urgent. An officer may secure it by locking it up, placing a guard or any other means.

If an officer secures something and believes on reasonable grounds that it needs to be secured for more than the 24-hour period they may seek an extension from the department. An application to extend the period can only be made once.

Before making the application, the officer will notify the occupier of the premises, or another person who represents them, of their intention to apply. The occupier or other person is entitled to be heard in relation to that application.

Other inspection powers

Section 26 Notice

A Section 26 notice may be issued when a person has failed to give the specified information and/or documents to meet the return or record keeping requirements.

Levy and charge payers and collection agents are required to provide the information or documents requested in the section 26 notice under the levies and charges laws within the specified period.

Failure to comply with a section 26 notice may result in an offence under subsection 26(4) or civil penalty under subsection 26(5) of the Act.

This means you may be issued with an infringement notice and subject to a penalty of up to 12 penalty units (\$3,960) or subject to a court-imposed penalty of up to 60 penalty units (\$19,800). Subsection 26(4) of the Act imposes an offence of strict liability.

When documents are produced under a subsection 26(1) notice, the department may inspect the documents and retain copies. The person is otherwise entitled to reasonable access to the documents until a certified copy is provided by the Department.

The inspection and retention of documents under these provisions are different to in-person record inspections, and the monitoring powers outlined above.

A person is not excused from giving a return or giving information or producing information in response to a section 26 notice on the basis that it may tend to incriminate the individual in relation to an offence (self-incrimination) or self-exposure to a penalty.

Debt enquiries

If you have questions about levies debt, including penalty remission contact the levies debt team.

Phone: 1800 814 961

Email: LeviesDebt@aff.gov.au

Mail: Department of Agriculture, Fisheries and Forestry – Levies
Locked Bag 4488
Kingston ACT 2604

Levies and related legislation

This information is a guide only. You must be aware of your obligations under relevant levy and export charge laws.

This includes:

- Primary Industries (Excise) Levies Act 2024
- Primary Industries (Customs) Charges Act 2024
- Primary Industries Levies and Charges Collection Act 2024
- Regulatory Powers (Standard Provisions) Act 2014

See more on [levy and export charge laws](#).

Source: <https://www.agriculture.gov.au/agriculture-land/farm-food-drought/levies/lodging-returns-paying-levies/compliance-and-penalties>